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Office of the Comptroller of the Currency 400 7th Street, SW, Suite 1E-216 Washington, DC 20219 Attn: Chief Counsel's Office

Submitted via regulations.gov, Docket OCC-2025-0372

Re: Comment on RIN 1557-AF41, Docket OCC-2025-0372-0001, Implementing the GENIUS Act for Stablecoin Issuance by Entities Subject to OCC Jurisdiction

Dear Office of Chief Counsel:

**I. The Problem This Comment Addresses**

In July 2025, Binance began letting institutional traders post Circle's USYC, a tokenized money market fund, as collateral for derivatives trades. In November, Binance added BlackRock's BUIDL. In February 2026, it added Franklin Templeton's BENJI. All three instruments are yield-bearing, priced at net asset value, and held through the same custodian (Ceffu). The exchange's margin framework treats them comparably: same eligibility category, same custody arrangement, comparable collateral ratios applied to their NAV.

These three instruments are not the same.

BENJI is a U.S. mutual fund registered under the Investment Company Act of 1940. If Franklin Templeton fails, the fund's assets are segregated by statute. Holders have a statutory claim. The fund has a board of directors, SEC oversight, and prospectus-governed change control. Its portfolio is restricted to U.S. government securities. It is available to U.S. investors.

BUIDL is a BVI limited partnership administered by Securitize, a SEC-registered broker-dealer and digital transfer agent. It has no 1940 Act registration. Holders have a contractual claim under BVI law. Redemption routes primarily through Circle's USDC facility (established April 2024), meaning BUIDL holders trying to exit during a USDC stress event are redeeming into the very instrument that is depegging. Securitize also processes direct redemptions for qualified investors at a $250,000 minimum. The subscription pathway was expanded in October 2024 through a Zero Hash integration that enables USDC-to-USD conversion for purchasing BUIDL shares, but the redemption pathway remains USDC-dependent for most holders.

USYC represents shares in the Hashnote International Short Duration Yield Fund Ltd., a Cayman Islands mutual fund licensed by the Cayman Islands Monetary Authority. The token is issued by Circle International Bermuda Limited, regulated by the Bermuda Monetary Authority. USYC is explicitly unavailable to U.S. persons under Regulation S of the Securities Act of 1933. It subscribes and redeems exclusively in USDC, not USD. Despite being the largest tokenized Treasury product in the world ($2.2 billion as of March 2026), it operates entirely outside the U.S. regulatory perimeter.

A counterparty on the other side of a collateralized trade on Binance cannot see which of these three instruments backs the position. The counterparty bears the risk profile of whichever instrument the collateral poster chose. If that instrument's redemption pathway is impaired under stress, the collateral cannot be liquidated at its reported NAV, the exchange marks the collateral down, the resulting margin shortfall triggers a call the counterparty may not be able to meet, and forced liquidation at a discount depresses the price for every other pool holding the same instrument. The counterparty absorbs a loss they did not choose, could not observe, and were not compensated for: no yield premium, no risk disclosure, and no contractual right to specify which collateral instrument backs their position.

The proposed rule regulates permitted payment stablecoin issuers. It does not regulate tokenized fund shares. It does not regulate the collateral frameworks that pool these instruments together. No current or proposed federal regulation addresses this boundary. This comment letter identifies what the proposed rule gets right, where it could be strengthened, and what remains unaddressed.

I have applied a ten-category diagnostic framework (the Minimum Viable Equivalence Pack, or MVEP) to nine tokenized financial products, including the three instruments described above plus USDC, USDT, OUSG, USDG, PYUSD, DAI, and the JPMorgan deposit token (JPMD). The full analysis is attached as an exhibit. The findings below are drawn from that analysis.

## II. What the Proposed Rule Gets Right

**Reserve composition.** The proposed rule requires PPSI reserves to consist of cash, demand deposits, and short-term U.S. Treasury obligations held at federally insured institutions. This is the single most important provision in the rule because it breaks a chain that currently propagates failure across products.

Here is how that chain works. BUIDL redeems through USDC. OUSG (Ondo Finance) holds 99.5% of its portfolio in BUIDL, so OUSG also redeems through USDC. DAI (MakerDAO) swaps to USDC through its Peg Stability Module.

When Silicon Valley Bank failed in March 2023, Circle held $3.3 billion at SVB. USDC depegged to $0.88. The cascade did not stop at USDC. A Federal Reserve staff analysis documents that Dai's Peg Stability Module, designed to stabilize Dai's price, instead "created a direct channel of contagion from USDC to Dai," and that the contagion then propagated through Dai's additional PSMs to USDP (which depegged to $0.91, with over half its total supply withdrawn) and GUSD (which depegged to $0.96), stablecoins that had zero direct exposure to SVB. A single bank failure in Santa Clara cascaded through at least five tokenized products because all of them depended, directly or through intermediary PSMs, on the same cash settlement asset.

The depeg resolved within 48 hours only because the FDIC invoked the systemic risk exception to backstop all SVB depositors, including Circle's $3.3 billion. Even after the intervention, Circle's cash reserves at U.S. financial institutions fell from $11.5 billion on March 6 to $3.7 billion on March 31: the FDIC backstop stopped the depeg but did not prevent a $7.8 billion net outflow over the following three weeks.

The proposed rule's reserve composition requirement prevents this for PPSIs by requiring their reserves to terminate at federally supervised assets rather than at other tokenized instruments. This is a substantive improvement and should be preserved in the final rule.

**Extension of federal supervision.** The nine-product analysis produces a clear pattern: products governed by established federal regulatory frameworks (banking law for JPMD, the 1940 Act for BENJI) produce measurably better holder-protection outcomes than products governed by state money services business frameworks or no coherent framework at all. JPMD and BENJI satisfy the core requirements of every diagnostic category. For example, JPMD holders have FDIC insurance up to $250,000 and a statutory priority claim in insolvency; USDC holders have neither. BENJI's assets are segregated from Franklin Templeton's estate by statute; BUIDL's assets are governed by a BVI contractual arrangement.

The only diagnostic dimension on which JPMD and BENJI do not produce stronger holder-protection outcomes than the stablecoin products is the Article 12 take-free defect. Under UCC Article 12, a good-faith buyer of a tokenized instrument should acquire clean title even if a prior holder was a thief. But the statute requires the buyer to qualify through a "voluntary transaction creating an interest in property," and a thief cannot create an interest in property, so the protection fails when it matters most. This defect breaks the good-faith-purchaser protection for all tokenized instruments regardless of regulatory regime: it is a defect in the legal infrastructure, not in any individual product's design. On every other dimension (insolvency protection, redemption enforceability, settlement finality, reserve segregation, governance, monitoring), the bank deposit token and the 1940 Act fund deliver measurably stronger protections than any stablecoin in the sample.

This is not surprising. Banking law and the 1940 Act were designed to protect depositors and fund investors. State MSB law was designed to regulate wire transfer operators: firms like Western Union and MoneyGram that hold customer funds transiently while a transfer clears, typically for hours or days. The capital requirements reflect this transient model. Under the Money Transmission Modernization Act (adopted by 31 states covering 99% of money transmission activity), the minimum tangible net worth for a money transmitter holding $40 billion in customer funds is approximately $216 million, or 0.54% of total assets. A bank holding $40 billion in deposits would be required to maintain approximately $4.8 billion in CET1 capital, or 12%. The gap is approximately 22 to 1.

But stablecoin issuers are not wire transfer operators. They hold customer funds permanently. Tether has $185 billion in circulation; Circle has $75 billion. These are not transient balances being wired somewhere; they are monetary liabilities that holders treat as cash and hold indefinitely. When Circle disclosed $3.3 billion in exposure to Silicon Valley Bank, that exposure was approximately 15 times the MTMA capital minimum for an issuer of Circle's size. The Federal Reserve's own analysis notes that Circle's total stockholders' equity as of December 2023 was $0.34 billion, "representing just over a tenth of the $3.3 billion reserves held at SVB," and that "[w]ithout a public guarantee on the uninsured deposits at SVB, Circle faced the possibility of a significant shortfall." The capital framework would not have absorbed the loss.

And MSB capital requirements lack everything else banks have: no stress testing, no deposit insurance fund, no resolution framework, no FDIC backstop. The GENIUS Act retrofits holder protections onto instruments that operated for years under this framework. The proposed rule extends federal supervision to PPSI issuers that currently lack it, which moves stablecoin products closer to the protection levels that JPMD and BENJI already achieve. This is the right direction.

Odinet and Tosato, who have conducted the most detailed study of Tether's and Circle's contractual frameworks, independently identify the same structural problems: asymmetrical terms of service that insulate issuers from liability, ambiguous customer rights in the underlying digital assets, redemption that operates as a revocable privilege rather than an enforceable right, and perilous standing for holders in issuer bankruptcy. For example, Tether's terms of service disclaim liability across seventeen enumerated categories, reserve the right to modify, suspend, or terminate services without notice at sole discretion, and characterize redemption simultaneously as a "revocable, limited licence" and a "contractual right personal to the customer." Only 882 verified Tether accounts and 1,834 Circle accounts have direct redemption rights; the remaining millions of holders must exit through secondary-market intermediaries.

Odinet and Tosato also find that straightforward private ordering solutions exist (expanded contractual privity, rebalanced terms, proprietary rights in reserves via UCC Article 8 securities accounts) but that no major issuer has adopted them. The proposed rule's extension of federal supervision addresses through regulation what the market has failed to provide through private ordering.

**Differentiation among PPSI categories.** The proposed rule distinguishes Federal qualified PPSIs, State qualified PPSIs (with joint OCC-state supervision above $10 billion), and IDI subsidiaries. This differentiation is consistent with the analysis: the nine products separate into three regulatory tiers (Tier 1: federal banking law and the 1940 Act, covering JPMD and BENJI; Tier 2: regulated stablecoins under the GENIUS Act and state MSB frameworks, covering USDC, PYUSD, and USDG; Tier 3: unregulated or decentralized, covering USDT and DAI), and the boundaries between those tiers correspond to the boundaries between the proposed rule's PPSI categories.

## III. Three Ways the Proposed Rule Could Be Strengthened

### A. Require PPSIs to Disclose Known Legal Defects in Their Holder-Rights Foundation

There is a documented defect in the legal foundation of every tokenized instrument operating under UCC Article 12. Professors Frisch and Dalrymple identified it in 2024. Here is what it means in practice:

Suppose a hacker steals USDC tokens and sells them to an innocent buyer on a decentralized exchange. Under Article 12 of the Uniform Commercial Code, the buyer should be protected by the "take-free" rule, which is designed to let good-faith purchasers acquire clean title. But the take-free rule requires the buyer to be a "qualifying purchaser," and a qualifying purchaser must acquire the token through a "voluntary transaction creating an interest in property." A thief cannot create an interest in property. So the innocent buyer does not qualify, and the take-free protection fails.

The Article 12 Reporter was notified of this defect in April 2022 and declined to fix it because doing so would expose the same defect in UCC Article 8, which governs securities. The defect is documented, acknowledged, and intentionally unrepaired. No stablecoin issuer currently discloses it to holders.

Separately, the GENIUS Act defines payment stablecoins by the issuer's obligation to redeem but does not specify whether that obligation runs to the owner of the token or to the person who controls it. If a token is in a custodial wallet, does the custodian have redemption rights, or the beneficial owner? The Act is silent.

**Recommendation:** Require PPSIs to publish a documented analysis of holder rights under applicable commercial law, specifically addressing the Article 12 qualifying-purchaser defect and the GENIUS Act owner-versus-controller ambiguity, together with any compensating measures the PPSI has implemented (insurance, make-whole commitments, holder recovery procedures).

### B. Coordinate Across Federal Regulators on the Collateral Eligibility Boundary

The problem described in Section I (three instruments from three regulatory regimes receiving comparable collateral treatment) exists now and is growing. Deribit and Crypto.com also accept BUIDL as collateral. The tokenized Treasury market reached $11 billion in March 2026, up from approximately $1 billion in early 2024. Multiple institutional forecasts project tokenized real-world assets reaching $10 trillion by 2030. As more instruments enter collateral frameworks, the risk of undifferentiated pooling increases.

The proposed rule regulates PPSIs. The SEC regulates 1940 Act funds. Banking law regulates deposits. The CFTC regulates derivatives. No regulator currently has jurisdiction over the boundary where these instruments are combined in the same collateral pool. Each regulator supervises the instruments within its perimeter. Nobody supervises the seam where they are combined.

This is the structural analog to the pre-crisis problem in structured finance. Before 2008, rating methodologies treated mortgage-backed instruments with different credit profiles as equivalent within the same tranche. The categorization methodology did not differentiate, and neither did the market participants who relied on it. The mechanism here is the same: a risk categorization methodology (the collateral eligibility framework) treats instruments with different failure modes and recovery profiles as equivalent. The scale is not comparable; the stablecoin market is approximately $250 billion versus the pre-crisis MBS market's $11 trillion. But the mechanism is operating now, the tokenized Treasury market is growing at approximately 500% annually, and the regulatory gap that permits undifferentiated pooling is the same gap that the proposed rule leaves open.

**Recommendation:** The OCC should coordinate with the SEC, Federal Reserve, FDIC, FinCEN, and Treasury on the collateral eligibility boundary, potentially through a joint policy statement clarifying that tokenized instruments from different regulatory regimes should not receive equivalent collateral treatment without a standardized equivalence assessment.

### C. Adopt a Standardized Equivalence Assessment as a Supervisory Tool

The proposed rule defines what PPSI compliance looks like (reserve composition, capital, custody, redemption procedures). It does not provide a standardized method for evaluating whether a specific PPSI's payment stablecoin actually delivers the holder-rights profile that compliance is designed to ensure.

The MVEP framework is one implementation of such an assessment. It evaluates whether holders have enforceable redemption rights or merely a revocable privilege, whether reserves are segregated from the issuer's estate in bankruptcy, whether settlement is final under applicable commercial law, and whether the redemption pathway terminates at a federally supervised asset or at another tokenized instrument. Other comparable frameworks may also be suitable. The key requirement is that the framework produce reproducible assessments that distinguish instruments with different risk profiles, so that collateral framework operators, counterparties, and supervisors have a common measurement where none currently exists.

**Recommendation:** The OCC should adopt or reference a standardized assessment framework as a supervisory tool, incorporated in the final rule, in supervisory guidance, or developed jointly with stakeholders.

## IV. A Third Regulatory Alternative for Section IX

The OCC has analyzed two regulatory alternatives: a 2 percent issuance-based capital requirement and a 6-month operational backstop. Both address the quantitative capital provisions. Neither evaluates whether a PPSI's payment stablecoin actually delivers enforceable redemption rights, insolvency protection, or settlement finality to holders.

A third alternative: require PPSIs to publish and update a standardized equivalence assessment on a defined cadence (quarterly or semiannually), reviewed by OCC examiners during regular supervision. The OCC's RIA estimates the cost of the monthly reserve composition report at $3,144 per PPSI per year; a quarterly equivalence assessment would be a comparable order of magnitude, likely $5,000 to $15,000 annually. The benefit is a common analytical baseline that addresses the collateral interoperability problem and surfaces structural defects like the Article 12 qualifying-purchaser issue that the existing disclosure regime does not reach.

One additional consideration: the GENIUS Act grants stablecoin holders super-priority over all claims in issuer bankruptcy, including administrative expenses. Odinet and Tosato observe that this "risks creating administratively insolvent debtors" because the trustee cannot fund the proceeding when stablecoin holders' claims rank ahead of the trustee's fees. The result could make reorganization infeasible, trapping the holders the Act was designed to protect in a proceeding that cannot resolve. The OCC's implementing rules should address this tension, potentially by coordinating with the FDIC on resolution mechanics that preserve reorganization viability while maintaining holder priority.

## V. Specific Technical Comments

**On the NY State baseline.** The RIA uses NY DFS regulations as the baseline for non-OCC regulated bank PPSIs. None of the four stablecoin issuers in the nine-product sample (Circle/USDC, Tether/USDT, Paxos-managed USDG, PayPal/PYUSD) currently satisfies a rigorous holder-rights standard across all ten diagnostic dimensions, meaning the NY baseline likely produces a conservative compliance-cost estimate relative to a more representative pre-GENIUS Act baseline.

**On Treasury market effects.** USDC's holdings of U.S. Treasury securities as of March 2025 are nearly twice what they were in March 2023, according to the Federal Reserve's analysis of the SVB episode. A BIS working paper estimates that stablecoin outflows raise 3-month Treasury yields by two to three times as much as inflows lower them, an asymmetry that would amplify any future forced liquidation of stablecoin reserves during a banking crisis.

As institutional risk committees, prime brokers, and regulators recognize the recursive failure problem, demand for PPSI-quality reserves from non-PPSI tokenized instruments may grow, potentially exceeding the OCC's current estimates of the reserve demand effect on short-term Treasury yields.

**On the 1940 Act boundary.** BENJI (Franklin Templeton's FOBXX) achieves holder-protection outcomes comparable to JPMD through the 1940 Act rather than banking law. The OCC should consider whether some issuers may structure products under the 1940 Act as an alternative to PPSI licensing, and whether coordination with the SEC on this boundary would prevent regulatory arbitrage.

**On the IDI subsidiary boundary.** The disclosure regime for IDI subsidiary PPSIs should explicitly distinguish the PPSI's payment stablecoin from the parent IDI's tokenized deposit products (like JPMD) to prevent customer confusion. JPMorgan Chase could in principle establish a PPSI subsidiary while continuing to issue JPMD directly, creating a two-product scenario where the customer needs to understand which product they hold.

## VI. Conclusion

The proposed rule's reserve composition requirement breaks the recursive chain that propagated a single bank failure in Santa Clara through four tokenized products in March 2023. Its extension of federal supervision begins to close the capital gap between the MSB frameworks that currently govern stablecoin issuers (where a $40 billion issuer's minimum capital is approximately $216 million) and the banking frameworks that govern the deposits those stablecoins claim to represent (where the same $40 billion would require approximately $4.8 billion in CET1 capital, plus stress testing, deposit insurance, and resolution planning). Its differentiation among PPSI categories reflects the genuine structural differences that the nine-product analysis identifies. These provisions are sound, they address real problems, and they should be preserved in the final rule.

But the proposed rule addresses the instruments within the OCC's perimeter. It does not address the boundary where those instruments are combined with instruments from other regulatory perimeters in the same collateral pools. Today, three tokenized Treasury products governed by three different regulatory regimes (U.S. mutual fund law, BVI partnership law, and Cayman/Bermuda offshore fund law) receive comparable collateral treatment on the same exchange, through the same custodian, and continues to do so as of the date of this comment, with no disclosure to the counterparty on the other side of the trade about which instrument backs their position. The tokenized Treasury market has grown from $1 billion to $11 billion in two years.

If the collateral eligibility boundary remains unregulated as this market scales, the concentration of heterogeneous monetary-instrument risk in undifferentiated collateral categories will grow with it. The OCC has the analytical foundation and the institutional credibility to lead the interagency coordination that this boundary requires. The three recommendations in this letter (holder-rights disclosure, interagency coordination on collateral eligibility, and a standardized equivalence assessment) are designed to be implementable within the proposed rule's existing structure, at marginal cost, and without changes to the quantitative capital and reserve provisions. The cost of inaction is that the regulatory gap at the collateral boundary persists, the market grows into it, and the next stress event propagates through the same undifferentiated pooling mechanism that the pre-crisis structured finance market demonstrated at much larger scale.

I appreciate the Office's consideration of these comments and would welcome the opportunity to discuss any of these findings with OCC staff. The full analysis is attached.

Respectfully submitted,

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**Exhibit:** MVEP v9 manuscript (https://papers.ssrn.com/sol3/papers.cfm?abstract_id=6363138; current draft attached)